BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

Prepared Testimony of:

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF CUSTOMER OPERATIONS PANEL

TABLE OF CONTENTS

I. Introduction **1**
A. Introduction and Qualifications of Panel Members **1**
B. Purpose of Filing **6**
C. Testimony Format **11**
II. Supporting Core Customer Service Activities **13**
A. Arrears Management Program **13**
B. Contact Center Staffing and Training Program **20**
C. Meter and Billing Resources **27**
D. New York Power Authority Account Management **37**
E. PSC Complaints and Rate Consultant Inquiry Handling **45**
III. Customer Outreach **51**
A. Customer Outreach and Education **51**
B. Postage Cost Increases **55**
IV. Supporting Vulnerable Customers **59**
A. Energy Affordability Program Rules and Funding **64**
B. Energy Affordability Program Resources **71**
C. Statewide Solar for All **75**
V. Metrics **81**
A. Customer Service Performance Mechanism **81**
B. Residential Termination, Uncollectibles and Arrears Incentive Mechanism **83**
C. Long-Term Estimated and Delayed Billing Metric **84**
VI. Tariff Changes **88**

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF CUSTOMER OPERATIONS PANEL

I. Introduction

A. Introduction and Qualifications of Panel Members

Q. Would the members of the Customer Operations Panel (the "Panel") please state your names and business addresses?

A. Michael Murphy, Rebecca Roberts, Khadedra Hall, Eric Mastroianni, Matthew Sexton, Jon Minners, and Robert Buck. The business address of Mr. Murphy, Ms. Roberts, Mr. Sexton, Mr. Minners, and Mr. Buck is 4 Irving Place, New York, NY 10003; the business address of Mr. Mastroianni is 30 Flatbush Avenue, Brooklyn, NY 11217; and the business address of Ms. Hall is 1601 Bronxdale Avenue, Bronx, NY 10462.

Q. By whom are the Panel members employed?

A. We are employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company").

Q. In what capacity are the Panel members employed and what is their work experience?

A. (Murphy) I am the Vice President of Customer Operations. I have overall responsibility for the Company's customer service programs, including customer outreach, meter reading, billing, and answering customer inquiries. I oversee the administration of the Company's retail choice program that supports the competitive energy marketplace. I began my employment with Con Edison more than 24 years ago and have held a variety of positions within Customer Operations, in addition to an assignment as Section

Manager for Stores Operations in EAP Chain. My prior positions in Customer Operation include General Manager, Customer Service System Implementation; General Manager, Strategic Applications; Department Manager, Operations and Applications Support; Section Manager, Retail Choice Operations; Senior Specialist, Corporate Customer Group; and Supervisor, Specialized Activities.

(Roberts) I am the General Manager of the new Regulatory and Compliance Department in Customer Operations. I have overall responsibility for Customer Operations' compliance, quality assurance, and regulatory functions. I began my Con Edison career in 2010 as a management associate in the Leadership Development Program. Afterward, I moved to Gas Operations, where I served as an operating supervisor. I have served in a variety of roles across Customer Energy Solutions, including Project Specialist, Energy Efficiency; Section Manager, Demonstration Projects, Utility of the Future; and Department Manager, E-Mobility and Demonstrations. I have also worked in Financial Planning and Analysis, where I supported the Company's response to the New York State Public Service Commission's ("PSC" or the "Commission") Management Audit.

(Hall) I am a Credit and Collections General Manager specializing in people management, process optimization, and financial oversight. I am responsible for field execution, revenue recovery, mitigating risk, and maintaining compliance

with utility regulations while supporting customer relationships. I began my employment with Con Edison more than 15 years ago as a customer service representative ("CSR"), where I established Con Edison's first Credit and Field Operations Safety Team to standardize safety protocols and training. My prior positions include Section Manager in Credit and Field Operations, where I led the Company's Advanced Metering Infrastructure ("AMI") implementation project, one of the Company's largest capital projects.

(Mastroianni) I am the General Manager of the Customer Assistance group in Customer Operations. I have held this position since January 2025. My group includes the Company's Customer Experience Centers (formerly known as the Call Centers); back-office functions, including billing credit operations and customer investigations; and the Company's Walk-in Centers. I joined Con Edison in 2005 as a CSR in Customer Operations. I have served in a variety of roles of increasing responsibility across Customer Operations including Customer Outreach Advocate, Customer Outreach; Supervisor, Corporate Customer Group; Senior System Analyst, Operations and Applications Support; and Project Specialist and Department Manager, Specialized Activities.

(Sexton) I am the General Manager of Strategic Applications in Customer Operations. I am responsible for functional support of the Customer Care and Billing ("CC&B") system, Billing and

Payments, Digital Customer Experience ("DCX"), and the Retail Access Modernization Project. I joined Con Edison in 2004 as a Supervisor, Customer Assistance in Customer Operations. My other prior positions include General Manager, Specialized Activities; Department Manager, Strategic Applications; Section Manager, Management Audit Support; and Senior Specialist and Section Manager, Customer Assistance.

(Minners) I am the Department Manager for Customer Outreach and Education. I am responsible for the Company's outreach and education program, including outreach to customers, community groups, and officials. I have held this position since February 2021. I joined Con Edison in 2016 and was a senior specialist in Customer Outreach and Education before taking on my current role.

(Buck) I am the General Manager of Specialized Activities in Customer Operations. Specialized Activities includes the Corporate Customer Group, Retail Choice Operations, the Executive Action Group, the Value of Distributed Energy Resources ("VDER") Billing Group, and the Meter Action/Unmetered Services Group. I joined Con Edison in 2002 as a Supervisor in Customer Operations and have held a variety of positions within different areas of Customer Operations, including Meter Operations, Field Collections, Final Accounts, and Public Assistance. In addition, I have served as Section Manager, Central Credit and Collections;

Section Manager, Quality Assurance; and General Manager, System Business Readiness.

Q. Please state your educational background.

A. (Murphy) I earned a Bachelor of Science degree in Business Administration from the University at Albany and Master of Business Administration in Management of Information System from Fordham University.

(Roberts) I earned my Bachelor of Arts in American Studies from Wesleyan University and a Master of Business Administration from New York University.

(Hall) I earned my Bachelor of Business Administration and Master of Business Administration degrees from Monroe College.

(Mastroianni) I earned a Bachelor of Science degree in Business Management from Stony Brook University and a Master of Science in Organizational Leadership from Mercy College.

(Sexton) I earned my Bachelor of Arts in accounting and a Master of Business Administration in Human Resource Management from Baruch College.

(Minners) I earned a Bachelor of Arts in Creative Journalism from Baruch College, City University of New York.

(Buck) I earned bachelor’s degrees in history from The University at Buffalo and safety administration from Mercy College. I also graduated from the United States Navy’s Nuclear Power Program.

Q. Have any members of the Panel previously testified before the PSC?

A. Mr. Murphy, Mr. Sexton, and Mr. Minners have submitted testimony in previous rate cases, including in Cases 22-E-0064 and 22-G-0065, the Company's previous electric and gas rate cases. Mr. Mastroianni, Ms. Roberts, Ms. Hall, and Mr. Buck have not submitted testimony before the Commission.

B. Purpose of Filing

Q. Please summarize and briefly explain the purpose of the Panel's testimony.

A. This Panel's testimony presents an overview of planned programs for Customer Operations that are necessary, in conjunction with other Company programs addressed by other witnesses, to address rising stakeholder expectations and adapt to the highly complex environment in which the Company operates.

Q. Please explain what you mean by increasing stakeholder expectations.

A. In today's modern business landscape, customers have baseline performance expectations for every company they interact with, including Con Edison. Customers provide ongoing feedback through Department of Public Service ("DPS") mandated surveys and have expressed their expectations for what constitutes adequate service, consistently citing the need for shorter wait times,

expeditious resolution of issues or complaints, and seamless and flexible digital experiences.

The Company must meet these customer expectations alongside the needs of other stakeholders, such as elected officials and our regulators, both of whom continue to raise the bar of expectations for customer service performance. The Company's PSC-mandated management audits have also identified areas for improvement.

Q. Please explain what you mean by the Company operating in a highly complex environment.

A. The economic environment in which the Company operates has not yet returned to what we considered "normal" before the Covid-19 pandemic. Economic pressures continue to mount for our customers, fueled by inflation and the high cost of living, particularly in New York City. The Company's active 60-day arrears now total approximately $1.5 billion, compared to approximately $400 million before the pandemic. The Company anticipates this total will grow to $2.2 billion by the end of 2025 if it does not take careful and decisive action, with resulting impacts on customers and the community.

Beyond these economic pressures, the Company is facing new operating complexities. New programs and regulatory orders – such as community distributed generation ("CDG"), VDER payments, the Energy Affordability Program ("EAP"), and Local Law 97 – require

new systems to operate and are driving customer billing inquiries. Governmental customers, including the New York Power Authority ("NYPA"), and owners of distributed energy resources ("DERS") have new and heightened service expectations and require rate or process changes related to the clean energy transition. Meanwhile, technological innovations and efforts to modernize the Company's legacy systems require ongoing maintenance, enhancements, and software upgrades.

These environmental complexities are poised to increase as regulatory, customer, and business needs continue to evolve.

Q. How does the Company propose to address its evolving stakeholder needs and business landscape?

A. The Company proposes strategic investments in people and technology to meet these challenges and continue providing adequate service.

This Panel proposes to address the Company's complex business environment by significantly scaling collections activities in the field, making call centers more proactive through outbound calls, enhancing digital touchpoints to address the higher number of customers in arrears, and bolstering the Company's field, back-office, and front-office workforce to handle the increased volume and complexity of customer needs. Most of the requests within this rate period are proposed to address the Company's arrears situation.

In addition, programs such as Outreach and Education, the EAP, and Statewide Solar for All ("SSFA") will continue to engage and empower customers to manage their bills and make clean energy choices, especially our most vulnerable customers.

Q. Has the Company already taken action to address these challenges?

A. Yes. As outlined further in this testimony, the Company has begun taking proactive steps during the term of the current rate plan. These steps include hiring field and call center staff in 2024 and 2025 to reduce arrears through increased collections activity and reduced wait times for customers seeking to obtain payment assistance, resolve billing issues, or make other inquiries via our contact center.

These proactive hires are in the best interests of customers and stakeholders. The funding requested for this rate period will allow the Company to maintain this increased focus on the growing arrears problem and continue serving customers faced with the dual challenges of affordability and the clean energy transition.

Q. Is the Company proposing any Information Technology ("IT") investments related to the Panel?

A. Yes. These capital investments are part of the Company's Customer Applications IT portfolio, which include foundational customer service technology (and related maintenance and upgrade needs), as well as new technology programs required to maintain essential

customer operations, address new and evolving regulatory and business needs, and mitigate cyber, privacy, and compliance risks.

Q. Will you be discussing these IT investments in this testimony?

A. Only briefly and for the purpose of explaining how they support our customers. The IT Panel will discuss cost and implementation details and the benefits of these investments for the Company's customers.

Q. What period does your testimony cover?

A. Our testimony covers the 12-month period ending December 31, 2026 ("Rate Year," "Rate Year 1," or "RY1"), the 12-month period ending December 31, 2027 ("Rate Year 2" or "RY2"), and the 12-month period ending December 31, 2028, ("Rate Year 3" or "RY3."). The Company has proposed a rate plan for RY1 only. As the Accounting Panel explains, however, the Company is interested in pursuing a multi-year rate plan in settlement discussions with DPS Staff and interested parties. We have provided RY2 and RY3 data for the purpose of facilitating such discussions.

Q. What are the Company's O&M program cost changes for Customer Operations in RY1, RY2, and RY3?

A. The Company is planning an increase of $79,533,000 for program changes in RY1, a further increase of $8,195,000 for program changes in RY2, and a further increase of $1,786,000 for program changes in RY3. All the amounts discussed above are exclusive of

escalations, which are described by the Accounting Panel. These amounts are summarized in Exhibit__(CO-01) O&M Program Changes, with the full time equivalent ("FTE") staffing requests summarized in Exhibit__(CO-02) FTE Summary.

C. Testimony Format

Q. How is the rest of your testimony organized?

A. In Part II of our testimony, we review the Company's proposals to support core customer service activities by ensuring that the Company has the right levels of staffing to adequately address its historically high levels of customer arrears, comply with new legal requirements related to customer billing, and respond to increasing levels of customer inquiries regarding energy affordability, clean energy programs, and complex billing arrangements.

In Part III of our testimony, we review the Company's proposals regarding customer outreach, including plans to support customer outreach through communications, direct engagement, and expansion of language access, as well as to address increased postage costs for bills and other customer mailings.

In Part IV of our testimony, we address the Company's efforts to support vulnerable customers, including increased FTEs to support administration of the EAP, particularly with respect to customer self-certification.

In Part V of our testimony, we address the Company's metrics related to customer service, including its existing customer service performance mechanism and the estimated and delayed billing metrics established in its current rate plan.

In Part VI of our testimony, we address an additional change to Con Edison's electric tariff not reflected in the other testimony.

Q. Will the Panel be introducing and sponsoring any exhibits as part of your testimony?

A. Yes, we will be introducing and sponsoring the following exhibits:

- Exhibit__(CO-01) O&M Program Changes
- Exhibit__(CO-02) FTE Summary
- Exhibit__(CO-03) Arrears Management Program
- Exhibit__(CO-04) Contact Center Staffing and Training Program
- Exhibit__(CO-05) Meter and Billing Resources
- Exhibit__(CO-06) New York Power Authority Account Management
- Exhibit__(CO-07) PSC Complaints and Rate Consultant Inquiry Handling
- Exhibit__(CO-08) Customer Outreach and Education
- Exhibit__(CO-09) Postage Cost Increases
- Exhibit__(CO-10) Energy Affordability Program
- Exhibit__(CO-11) Statewide Solar for All

- Exhibit__(CO-12) Current Customer Service Performance Mechanism Incentive Targets
- Exhibit__(CO-13) CSPM Target Historical Data
- Exhibit__(CO-14) Estimated and Delayed Billing Metrics

II. Supporting Core Customer Service Activities

A. Arrears Management Program

Q. What is the first category of work the Panel will be discussing?

A. We will be discussing the Company's efforts to manage customer arrears.

Q. Please describe the Company's current conditions related to customer arrears.

A. While the majority of the Company's more than 3.7 million gas and electric customers are current on their bills, outstanding arrears have grown significantly from approximately $428 million in 2020 to around $1.5 billion today.

As of December 2024, there were 564,520 customers with arrears more than 60 days old totaling $1.49 billion. These figures include 496,007 residential customers with arrears of $948 million and 68,513 non-residential customers with arrears of $539 million.

Q. Has the level of customer arrears changed over time?

A. Yes. Since the onset of the COVID-19 pandemic, customer arrears have grown rapidly in both the number of customers and in dollar terms. The number of customers in arrears has grown by

approximately 60 percent, and the dollar value of arrears has increased approximately 250 percent.

All utilities in New York State have greater arrears today compared to pre-pandemic levels. But the challenges have been particularly acute in Con Edison's service territory.

Q. What has caused the levels of customer arrears to increase over the last several years in Con Edison's service territory?

A. Arrears balances have grown because of economic conditions during and after the Covid-19 pandemic, moratoria on collections imposed during the pandemic and, more recently, a pause of collection activities during implementation of the new CC&B system.

Sustained pressure in the economy – including inflation and an increasingly high cost of living in New York City - has led customers to continue to fall behind on their bills. It is unknown how long these economic pressures will remain.

In addition, there have been several periods of time over the last several years where the Company paused credit and collections activity. During the moratoria related to the Covid-19 pandemic (March 2020-December 2021) and the two Commission-approved bill relief programs (Phase I, June-September 2022; Phase II, January-April 2023), the Company could not terminate specified classes of customers for non-payment, which allowed customers facing economic constraints to prioritize other payments over their utility bills and prevented the Company from

taking action to prevent customer arrears from growing further. The Company then voluntarily suspended credit and collections activity during implementation and stabilization of CC&B from September 2023 to April 2024 to avoid negatively impacting customers with the kinds of billing or payment processing errors that often occur during major billing system replacements.

Q. Did the Phase I and II bill relief programs reduce customer arrears?

A. In the short term, the arrears forgiveness programs significantly reduced the outstanding balances of eligible residential and commercial customers. Many customers, however, did not resume payments on their current bills following arrears forgiveness and, after these programs ended, arrears resumed their steady climb. Total arrears totaled nearly $1.35 billion in July 2022, before Phase I of the Bill Relief Program, and fell to about $900 million in February 2023, after Phase II of the Bill Relief Program. However, Con Edison’s aged arrears exceeded the pre-relief level by March 2024 and have continued climbing since. We have seen that arrears relief, without careful but robust collections activity, does not prevent customers from sliding back into arrears or encourage them to make regularly scheduled payments in a sustainable way. However, Con Edison’s aged arrears exceeded the pre-relief level by April 2024 and have continued climbing since. We have seen that arrears relief, without careful

but robust collections activity, does not prevent customers from sliding back into arrears or encourage them to make regularly scheduled payments in a sustainable way.

Q. Has the Company resumed normal credit and collections activity after these moratoria?

A. Yes. The Company resumed credit and collections activity in 2023 (although it was paused again for CC&B implementation) and began fielding non-residential and residential customers for collections in April 2024 and June 2024, respectively.

Q. Please describe the Company's current processes and procedures related to arrears management.

A. Our process includes a series of notifications to customers including letters, emails, phone calls, and field visits. Con Edison offers payment plans and payment extensions. The Company refers customers who may be income-eligible to social service agencies for additional financial support. Con Edison also offers an EAP that provides discounts to low-income customers who participate in specified government assistance programs.

Despite proactively engaging customers in digital outreach and notices, there is still a significant customer population whose arrears do not cure through this approach. Once all communications have been exhausted, field collections activity has proven to be an effective tool to reduce the arrears of the customers it directly engages while also indirectly encouraging

other customers to address past due arrears before a field visit to avoid the risk of service disruption. Historically, 85 percent of residential and 60 percent of non-residential customers make payment for service reconnection, most on the day of planned service interruptions. Further, with the implementation of AMI, most customers can be reconnected within minutes of payment.

Customer turn-offs are a last resort only after conducting extensive outreach, having exhausted all other options to collect payment. Turn-offs are the last means necessary to prevent arrears balances from growing further and shifting those costs to all customers. But even during field visits, the Company continues to offer arrangements for customers to pay down their balances over time, as required by Commission regulations.

Q. Is the Company proposing any changes to its arrears management program?

A. Yes. While the Company's goals remain the same – to collect money owed by customers while avoiding interruptions or terminations of service to the extent possible – it has increased its FTEs and is improving processes to respond to these unprecedented levels of arrears.

First, the Company is augmenting its field FTEs to meet the size and breadth of its current and anticipated future levels of customer arrears. The Company has nearly twice as many customers

in arrears but fewer than half as many field agents devoted to collections (down 160 field agents from before the pandemic).

Second, the Company is increasing its digital communications touchpoints with customers via email and SMS (text) to encourage customers to address outstanding arrears. Digital outreach is a cost-efficient supplement to paper notices and in-person field collection visits.

Q. What are the key benefits of this proposal, and how will it provide value to customers?

A. Con Edison is focused on reducing the current arrears balance by engaging with customers to help them pay their bills. Helping delinquent customers pay their bills protects all customers, including the majority of paying customers, from rising costs due to unpaid bills. Customer payments are also necessary to help fund essential maintenance and upgrades to continue delivering safe, clean, and reliable service.

Q. Please describe the Company's proposal to augment field FTEs?

A. The Company proposes bolstering its customer field representatives ("CFR") staffing and related management FTEs to work with customers in arrears. The requested staff of 383 FTEs includes 337 CFRs, 150 of which will be provisional; 16 CSRs; 23 supervisors; 2 section managers; 1 senior specialist; and 4 additional management hires. The requested staff of 383 FTEs includes 337 CFRs, 150 of whom will be provisional; 16 CSRs; 23

supervisors; 2 section managers; 1 senior specialist; and 4 additional management hires.

Q. Does this additional staffing require Company labor, contract labor, or both?

A. Aside from management roles that may be contractors, the FTEs requested are Company labor, with all CFR and CSR roles as union positions.

Q. How many FTEs are you planning to add before the start of RY1?

A. The Company is planning to hire all 383 FTEs prior to RY1.

Q. How did the Company arrive at these required staffing levels?

A. Staffing estimates were made by looking at historical staffing levels and projecting the estimated arrears reduction per collector, alongside the anticipated impact of non-field activities. Consistent field activity also bolsters the efficacy of the soft contact collection streams (phone, email, text) deployed before field calls. This level of staffing is necessary to address the mounting volume of arrears by making timely field collections visits to customers.

Q. Will any of these FTEs require additions to the Company's vehicle fleet?

A. No. These FTEs will use their personal vehicles, as necessary, with mileage factored into the budget forecast provided.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $26,770,000 is needed beginning in RY1, with an incremental decrease of $2,557,000 in RY2 and a further incremental decrease of $23,000 in RY3.

Q. If the Company increased the FTEs devoted to arrears management in 2024 and is continuing to augment those FTEs in 2025, why does the Company need additional funding in 2026-2028?

A. The requested funding for 2026-2028 will enable the Company to maintain staffing hired in 2024 and 2025 during the next rate plan and reflects a reduction of 50 FTEs beginning in 2027 to reflect expected collections progress.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on arrears management?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-03) Arrears Management Program.

B. Contact Center Staffing and Training Program

Q. What is the next category of work the Panel will be discussing?

A. We will be discussing the Company's plans to augment its staffing within Customer Assistance to better serve customers, providing skilled agents and adequate service levels in terms of wait time and availability 24 hours a day, 7 days a week.

Q. What are the key activities that the Company will undertake in augmenting its staffing within Customer Assistance?

A. The Company will increase its call center staffing, focusing on three critical areas:

1) Inbound Call Capacity: With the increase in collections efforts and the expansion of digital engagement of customers in arrears, the Company must increase staffing to handle the increases in calls that are forecasted from this activity and to avoid excessive wait times;

2) Outbound Call Collections Capacity: The Company seeks to increase staffing to make outbound calls to proactively engage customers to address overdue bills, prevent arrears from aging further, and mitigate (where possible) more costly and impactful service terminations;

3) Training and Employee Enrichment: To support new and current staffing, the Company will implement comprehensive, ongoing training and enrichment programs to equip our CSRs with improved skills and knowledge to service our customers effectively in an exceedingly demanding and complex environment.

Q. What staffing changes is the Company proposing in its customer call centers?

A. The Company is proposing meaningful staff increases required to right-size its contact center operations and training resources. These increases are necessary to continue providing an adequate

level of customer service in light of the increased number and complexity of customer calls, including those related to collections activity. This request includes 200 CSRs for inbound call capacity to maintain adequate service levels, 100 CSRs focused on outbound collections calling to proactively prompt customers for payment, and 33 management FTEs to support program oversight, management, and training.

Q. How many FTEs is the Company planning to add before and during the prospective RY1-RY3 time frame?

A. The Company has taken proactive steps given the resumption of credit and collections activity and subsequent increases in call volumes. This includes the proactive hiring of 160 CSRs in 2024 with the intention to hire additional CSRs in 2025. The management staff related to oversight of these CSRs includes 11 management FTEs to be hired by Q3 2025. The Company plans to hire the balance of the remaining FTEs (CSRs and management staff) requested in RY1.

Q. Why is the Company proposing to increase spending on CSRs in its customer call centers?

A. Resolving the Company's approximately $1.5 billion in arrears will be a multi-year effort. Due to the increase in collections activities and related communications, the Company forecasts that its call volume will be 15 to 20 percent higher in 2026 than in 2024. Even with efforts to optimize staffing and improve CSR

performance, the Company will be challenged to maintain its current level of service. Added CSRs will allow the Company to manage staff to handle high call volumes while also providing capacity for outbound calling campaigns for collections.

Q. Please describe what kinds of customer inquiries the Company's CSRs handle.

A. Many simple transactions, like handling basic account questions and updates, have been automated or are now primarily addressed by customers through self-service options as the Company continues to enhance the digital customer experience. This leaves CSRs to handle more difficult and complex inquiries that cannot be completed digitally or calls where customers prefer to speak to a CSR. These inquiries include questions regarding high bills, payment agreements, and related collection activities; clean energy programs; increased storm-related calls due to more frequent and severe storms; exceptions around start and stop service requests; and alternative rates.

Q. Has the number of inbound calls changed over time?

A. Yes. The Company saw an increase in overall call volume, with an ~12% rise in 2024 compared to 2023—escalating from 7,156,000030 calls in 2023 to 8,024,718 calls in 2024, an increase of approximately 12 percent. During this time, the number of calls handled by CSRs during regular business hours increased by about 7 percent, from 3,376,131 to 3,596,185. This increase is

correlated with the Company's resumption of collection activities, underscoring the need for adequate staffing to handle calls from customers seeking assistance.

Q. Has the complexity of inquiries handled by CSRs also changed over time?

A. Yes. Benchmarking from Accenture (Contact Center of the Future) has found an industry-wide increase in call complexity as routine inquiries are resolved in digital channels and agents are left to field more complex calls. Additionally, greater call complexity associated with collection calls is evident from the increased call handle time, averaging 8 minutes, 16 seconds in 2024 compared to 7 minutes, 49 seconds in 2023 and 7 minutes, 30 seconds in 2022. This increased complexity requires CSRs to have more advanced skills, particularly soft skills like negotiation, which reinforces the Company's intent to expand CSR training opportunities.

Q. What has caused the number and complexity of customer inquiries to increase over the last several years?

A. The Company's arrears issues (as detailed previously in this testimony) are compounded by mounting economic pressures like inflation and the high cost of living in the Company's service territory. The economic climate and increase in cost of living is making it harder for customers to pay bills and increasing the

Company's credit-related calls and the time CSRs spend negotiating payment agreements with customers in arrears.

Customer service inquiries increase with continued growth in high summer bills; moreover, these inquiries typically peak in the months that coincide with higher volumes of requests to start and stop service. New regulatory and programmatic drivers — such as the expansion of CDG, community choice aggregation, and the wider adoption of electric vehicles — also result in more, and more complex, inquiries for CSRs.

Q. What FTEs does the Company currently devote to staffing CSRs in its customer call centers?

A. Customer Assistance average headcount during the test year (i.e., October 1, 2023, to September 30, 2024) was 744 CSRs and 96 management FTEs, of which 588 CSRs and 54 management FTEs took customer calls. The Company is currently investing in workforce management tools to improve staffing as the Company implements the strategies outlined in the Arrears Management Program testimony above that will drive increased call volume.

Q. Will the additional CSRs deployed to Company call centers be Company labor, contract labor, or both?

A. Aside from five management roles that may be contractors, the FTEs requested are Company labor, with all CSR roles as union positions.

Q. Please explain why current staffing levels are insufficient.

A. The Company hired incremental CSRs in 2024 after experiencing long wait times from April to August 2024 and to meet projected call forecasts resulting from increased collections activity. In addition, when CC&B implementation concluded, the Company also shifted employees from CC&B implementation and stabilization to support call center needs. The Company also plans to hire additional FTEs in 2025 for outbound collections calls. The staffing levels before this strategic hiring effort were not adequate to meet committed service levels given the growth in inquiries associated with increasing customer arrears.

Q. How did the Company arrive at these required staffing levels?

A. The staffing request for additional inbound call contact center staff is based on the Company's forecasting model for call demand and corresponding contact center staffing needs.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $30,336,000 is needed beginning in RY1, followed by an incremental increase of $872,000 in RY2 and no further change in RY3. As explained above, this funding supports maintaining the FTEs hired in 2024 and 2025 and supplementing them with additional FTEs to be hired in 2026.

Q. How would this proposal produce value for customers?

A. Expansion of contact center staffing and CSR capabilities through enhanced training will support customers' ability to receive assistance from the Company through lower call wait times. In addition, enhanced training will further empower CSRs to be more adept at resolving customer issues efficiently and effectively.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on CSRs?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-04) Contact Center Staffing and Training Program.

C. Meter and Billing Resources

Q. What is the next category of work the Panel will be discussing?

A. We will be discussing the Company's efforts to review and address inquiries related to customer meter and billing exceptions. This work includes identifying and resolving complex meter-to-bill issues and addressing increased numbers of billing inquiries through expanded field and back-office FTEs.

Q. Describe the meter and billing environment today.

A. The Company has dramatically improved the timeliness and accuracy of customer bills due to the installation of AMI equipment and the implementation of CC&B. Together, these initiatives have helped automate a number of previously manual processes and reduced the percentage of estimated bills to below 2 percent.

These technology solutions require an evolved staffing approach, moving from legacy meter readers to first responders trained to address equipment issues in the field and the back office. Further, in a service territory with 3.7 million customers with diverse billing rates and structures, there will always be some number of billing anomalies that require dedicated resources to manage, mitigate, and manually intervene these issues when they arise.

Q. What are the key activities that the Company will undertake in augmenting its field and back-office staffing?

A. The Company is proposing to add FTEs to resolve customer account billing issues and support an end-to-end meter management and billing strategy. These FTEs, supported by continued training, will troubleshoot and remedy metering issues, address complex billing concerns, and confirm accurate recordings of customer usage are displayed on customer bills.

The Company will deploy these FTEs across the following five operational focus areas:

1) Customer Billing and Correspondence Support, to support accounting and back-office needs;
2) Retail Choice Account Support, to meet the additional requirements of energy service companies (“ESCOs”) operating in the Company’s service territory;

3) The Meter No Access and Replevin Program, to support meter replacements for defective or non-communicating meters on customer premises;
4) The Meter to Bill Quality Assurance ("QA") Team, to undertake QA measures encompassing the end-to-end meter-to-bill life cycle; and
5) Employee Enrichment and Training, to provide improved classroom-style training for back-office and accounting CSRs and Senior Customer Service Representatives ("SCSRs").

Q. What staffing changes is the Company proposing to deploy across these meter and billing focus areas?

A. The Company is proposing to deploy 129 new FTEs across these five meter and billing programs covering back-office, accounting functions, and field operations. This includes 78 accounting and back-office FTEs, 11 Retail Choice FTEs, 29 field and management FTEs for the Meter No Access and Replevin Program, five FTEs for the Meter Management QA Team, and six training FTEs.

Q. Why is the Company proposing to increase spending on addressing customer billing issues at this time?

A. The Company is proposing to hire additional meter and billing FTEs due to technological innovations, more stringent legal requirements, recently established PSC performance metrics, and increasingly complex programs and rates, as described below.

Q. How have recent technological innovations changed the Company's billing processes?

A. Due to AMI deployment, CC&B implementation, and process and automation improvements, the number of estimated and delayed bills has dramatically decreased. But compared to legacy manual processes, the entire meter-to-bill process now depends on technology systems communicating with one another.

While the Company's AMI meters are highly reliable overall, even a small percentage of non-communicating or inconsistently communicating meters among the Company's more than 4.7 million AMI meters may result in estimated or delayed bills. Those meters require field FTEs with access to customer premises to remove and replace these non-communicating or intermittently communicating AMI meters. As of January 2025, there are approximately 67,000 legacy and AMI meters requiring a field visit to gain access.

Identifying and addressing meter-to-bill issues also requires quality assurance efforts to eliminate process roadblocks and identify opportunities for process improvement. This includes thorough analysis, manual interventions, and systematic reviews of the Company's meter and billing systems across Customer Operations, Gas Operations, Electric Operations, AMI, and IT.

Q. In addition to technology issues, what else can cause billing problems like delayed or estimated billing?

A. There are many different circumstances that require Company personnel to adjust customer bills manually. For example, the expansion of special billing rates and associated program offerings have increased the potential for billing issues. Back-office billing staff now handle multiple time-of-use rates, residential net metering, and numerous demand-based rates, which together impact more than 100,000 customers. Enrollment in and de-enrollment from these special billing rates also remains a complex process.

Making billing adjustments to generate accurate, automated bills also requires obtaining and analyzing meter information and usage data from multiple systems. When actual meter readings are not available, the Company must undertake field visits to gain access to meters, which adds time to the bill resolution process.

Q. Have any recent legislative or regulatory changes affected the Company's handling of customer billing issues?

A. Yes. In December 2023, Governor Hochul signed into law Chapter 763 of the Laws of 2023, which amended the Public Service Law regarding utility customer billing. Shortly thereafter, the Legislature enacted and Governor Hochul signed into law Chapter 62 of the Laws of 2024 to modify the earlier legislation. Together, these laws amended Sections 41 and 44 of the Public Service Law and added a new Section 66-w to the Public Service Law. The amendments to Section 41 and the addition of Section 66-

w require electric and gas utilities to render bills to residential and small commercial customers within three months of the end of each customer's monthly billing period, except where the failure to bill within that period was not the result of utility neglect or was the result of the customer's culpable conduct. The Commission issued an order in Case 24-M-0239 on May 17, 2024, to clarify certain aspects of the new legislation, which became effective on June 19, 2024.

Q. How has the new legislation affected utility billing?

A. The new law shortened the time in which utilities may bill a residential customer for a given billing period from six months to three months and extended the same requirement to small commercial customers, for whom the Public Service Law did not previously apply such a limit.

As a practical consequence of this legislation, where a customer billing issue has prevented the Company from rendering a bill, the Company must now investigate and resolve the billing issue within a shortened timeframe. While the new law exempts from the three-month rule instances where the failure to bill was not the result of utility neglect or was the result of culpable customer conduct, it may not be immediately apparent to the Company whether its failure to render a bill would fall under one or both of those exemptions. Accordingly, the law requires the Company to investigate and resolve more quickly any billing

issues that result in a customer not receiving a timely bill, at the risk that the Company will be unable to bill that customer for the affected billing period.

Q. Have any other requirements affected the Company's need for FTEs to handle customer billing issues?

A. Yes. In the Company's last rate plan, the PSC enacted a first-of-its-kind metric with associated negative revenue adjustments for customer bills that have been estimated or delayed longer than 125 days. The Company's current rate plan, however, did not include funding for additional personnel to address billing issues that frequently result in estimated and delayed billing. While the Company has succeeded in meeting its performance targets for the first two years of its current rate plan, the Company anticipates challenges in meeting the more stringent targets for the third year of its current rate plan as the remaining cases of long-term estimated and delayed billing are, on average, more challenging to address.

Q. Please describe the Company's current processes and procedures related to addressing customer billing issues.

A. The Company automatically generates billing exception and unbilled reports daily to prioritize work based on unbilled dollar amounts, number of days pending, and customer escalations. Based on these prioritizations, the team assigns CSRs and SCSRs in back-office roles to work these specific customer accounts.

Back-office FTEs include CSRs in the Customer Assistance Accounting team, who support residential customers, and SCSRs supporting commercial accounts in the Specialized Activities Corporate Customer Group ("CCG") and Retail Choice Group. The Customer Assistance accounting team currently has 69 FTEs (CSRs), while the Specialized Activities CCG and Retail Choice teams have 33 FTEs (SCSRs) combined.

Meter management quality assurance is currently handled through a temporary team that the Company seeks to make permanent. The Company also lacks a permanent dedicated team to address no-access and replevin issues, for which the Company currently relies on existing field FTEs who are currently focused on collections activity.

The Company currently does not have a dedicated back-office training program, which it is requesting here to support these FTEs in addressing billing issues in an increasingly complex landscape.

Q. Have the FTEs devoted to addressing customer billing issues changed over time?

A. Even as the Company introduces new billing rates and programs and the technology ecosystem supporting billing evolves, the Company has not increased the number of FTEs dedicated to resolving new billing exceptions in over seven years. Existing FTEs have had to become specialized in key billing functions, such as solar net

metering, time-of-use rates, the Innovative Pricing Pilot ("IPP"), CDG, and standby rates, while also becoming adept at working in CC&B and the backend/edge platforms it interacts with, like the Itron Meter Data Management System ("MDMS") and the Meter Asset Management System ("MAMS").

Q. Do the additional FTEs requested require Company labor, contract labor, or both?

A. The FTEs requested are Company labor, with all CSR, SCSR, and SCFR roles as union positions.

Q. How many FTEs is the Company planning to add during the prospective RY1-RY3 time frame?

A. The Company is planning to hire all new FTEs in 2026.

Q. How did the Company arrive at these required staffing levels?

A. The Company determined the staffing levels proposed for this rate period using a snapshot of historical billing and meter backlogs.

The basis for the 45 Accounting CSRs requested was the number of billing inquiries received on a weekly and monthly basis. The 45 FTEs are required to bridge the gap between the number of inquiries received and the number of inquiries that the Company can resolve at current staffing levels. This estimate accounts for productivity gains from robotic process automations ("RPAs") and for volumes of manual interventions to decline over time as CC&B system defects continue to be resolved.

For SCSRs, desired staffing levels are approximately 1,000-1,500 accounts per SCSR. When considering a current team of approximately 30 SCSRs and population of 79,000 corporate customer accounts (not including 11,000 NYPA accounts, as resourced separately and discussed later in this testimony), this request anticipates that the Company needs 35 new SCSRs to keep pace with current and anticipated future CCG and Retail Choice billing and back-office work.

For the QA team, the five FTEs requested are informed by a similar effort following AMI implementation, leveraging lessons learned from this past work to propose a permanent team structure.

For the Meter No Access and Replevin Program, the Company is proposing to hire 29 FTEs based on the current 67,000 meters with no-access issues. Even considering a 20 percent access resolution rate based on letters and emails, the remaining meters will require a field team of 24 SCFRs and supporting management staff to address, assuming each team of two SCFRs (for safety purposes) can resolve approximately 200 meter issues each month.

Q. How many of these incremental FTEs does the Company anticipate hiring in RY1?

A. The Company plans to hire the majority of these employees by the end of Q1 2026, with the remaining five management positions and the 33 new SCSRs staggered across Q2 and Q3 2026. We have

prorated the O&M portion of these FTEs' salaries accordingly in our program changes.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $12,702,000 is needed beginning in RY1, followed by an incremental increase of $6,439,000 in RY2 and no change in RY3.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on addressing customer billing issues?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-05) Meter and Billing Resources.

D. New York Power Authority Account Management

Q. What is the next category of work the Panel will be discussing?

A. We will be discussing the Company's plans to establish a new group dedicated to addressing customer care inquiries from the New York Power Authority ("NYPA") and its governmental customers, including the Department of Citywide Administrative Services ("DCAS"), the New York City Housing Authority ("NYCHA"), Westchester municipalities, the Port Authority of New York and New Jersey, the Office of General Services ("OGS"), and the

Metropolitan Transit Authority ("MTA") (together, "NYPA customers").

Q. Please describe what kinds of inquiries the Company receives from NYPA customers.

A. NYPA customers have a variety of inquiries with varying levels of complexity, in addition to multiple avenues of communication with the Company.

For the billing group, these can range from start/stop service requests and billing and account inquiries to resolution of data discrepancies. NYPA and its customers also inquire about VDER, demand response, energy efficiency programs and other clean energy initiatives, and metering issues that are found when reviewing whether NYPA customers can participate in net metering and other clean energy programs. The Company currently handles these requests through different departments focused on each of these specific program areas, rather than providing one-stop service for NYPA customers.

Q. Have the types of inquiries the Company receives from NYPA customers changed over time? If so, how?

A. Yes. AMI metering, the availability of interval data, and new rates are driving an increase in inquiries from NYPA and its customers. NYPA customers are also increasingly interested in the benefits of clean energy initiatives including VDER, solar, and storage.

Once the Company deployed smart meters, interval data became available for all meters and customers, including NYPA customers. Many customers have used this data to evaluate their participation in demand response programs, energy efficiency options, and different rates (e.g., net metering), leading to more inquiries to the Company about these options. But for NYPA and its customers, assisting with enrollment in these programs is complicated by the fact that NYPA is a direct customer of the Company, but their customers are billed under a separate tariff.

Q. How are inquiries from NYPA and its customers different from the inquiries the Company receives from other types of customers?

A. While the inquiries from NYPA customers are similar to those from other large customers, they are also more complex because the Company does not bill NYPA's customers directly. Instead, the Company bills NYPA, and NYPA, in turn, bills its customers based in part on the meter and billing data provided by the Company.

For example, if a NYPA customer contacts Con Edison about an estimated bill, the Company will first investigate if the Company's system generated an estimate and, if so, why. In some circumstances, however, the Company did not estimate the account. Where that happens, the Company will have to contact NYPA to determine the cause of the estimated bill. This means that if an issue exists, it could involve NYPA, its governmental customers, Con Edison, or all three. This requires an extra level of review

and communication. Likewise, an inquiry as simple as a start/stop service request may be delayed if a premise transfers from a NYPA rate to a Con Edison rate or vice versa. NYPA customer inquiries also differ in that they normally involve multiple accounts and not a single account inquiry.

In addition, the Company receives inquiries not only from NYPA, but also from NYPA customers – sometimes for the same issue. Having multiple lines of inquiry, potentially to different groups within the Company, results in the need for greater coordination by a dedicated team.

Q. Please describe the Company's current processes and procedures related to addressing inquiries from NYPA customers.

A. Currently, NYPA inquiries are handled through CCG, the group of SCSRs responsible for managing approximately 90,000 corporate customer accounts, including approximately 11,000 NYPA accounts. As previously outlined, however, NYPA inquiries differ in some important respects from other CCG accounts and can be received through multiple communications channels.

A CCG billing representative can resolve most inquiries related to start/stop service, meter communication, and billing. There are, however, instances where they are not able to resolve inquiries without further research and involvement from other internal and/or external departments. In these cases, the representative will escalate the inquiry to management, who will

work with NYPA and/or other internal departments for resolution. These groups can include but are not limited to IT, Energy Services, field organizations, or demand management/energy efficiency personnel.

Q. What challenges does the Company face in using those current procedures to address inquiries from NYPA customers?

A. The current process does not enable CCG billing representatives, who also handle non-NYPA inquiries in the regular course of business, to hone their expertise on the account-specific needs for NYPA customers or gain a complete end-to-end understanding of the multiple points of contact and data points specific to NYPA. In addition, because inquiries from NYPA and NYPA customers are dispersed across a larger number of SCSRs within CCG, the Company cannot respond to them as effectively as it would with a dedicated team of representatives focused on NYPA-related inquiries.

Q. Is the Company proposing any changes to its program for addressing inquiries from NYPA customers?

A. Yes. The Company is proposing to establish a dedicated group to investigate and resolve all inquiries from NYPA and NYPA customers, adding process efficiencies and establishing a single point of contact resolution.

Q. What are the key activities that the Company will undertake in this proposed project?

A. This new group in Customer Operations would manage the monthly NYPA billing process, become well-versed on the complexity of NYPA and governmental agency inquiries, and be trained to handle specialized rate needs. Other tasks will include handling start/stop service requests; meter installations, removals, service upgrades, and exchanges; billing, rate, and account inquiries; resolution of data discrepancies; reporting; and enrollment in energy efficiency and demand response programs, among other needs.

Q. What are the key benefits of this proposal?

A. The cross-functional expertise and team structure will be less dependent on other departments within the Company, which will allow for more seamless collaboration and issue resolution. Having one dedicated team which will improve billing processes, support timely inquiry resolution, and deliver an improved customer experience to NYPA's customers.

Q. Does the Company require additional staffing?

A. Yes. This proposal requests a total of 15 FTEs dedicated to NYPA support, including 10 SCSRs, 2 Supervisors, 1 Project Specialist, 1 IT-focused System Specialist, and 1 Project Manager.

Q. Why does the Company require additional staffing instead of just designating existing personnel in CCG to respond to inquiries from NYPA customers?

A. For the Company's 90,000 CCG accounts, there are already too few SCSRs to maintain the desired ratio of 1,000 to 1,500 accounts per SCSR. Therefore, the current number of CCG customer accounts assigned per SCSR does not allow the Company to reassign NYPA work or establish a dedicated team with existing FTEs.

Q. Does this additional staffing require Company labor, contract labor, or both?

A. This request is for additional Company labor.

Q. How many FTEs are you planning to add during the prospective RY1-RY3 time frame?

A. The Company plans to hire the 15 proposed FTEs with staggered starts in RY1, with staffing remaining flat for RY2 and RY3.

Q. How did the Company arrive at these required staffing levels?

A. This staffing request considers number of accounts per billing representative (10 SCSRs servicing approximately 11,000 NYPA accounts, or about 1,100 accounts per representative) and the additional team members needed to address different workstreams.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $1,040,000 is needed beginning in RY1, followed by an incremental increase of $1,040,000 in RY2 and no change in RY3.

Q. How would this proposal produce value for NYPA customers?

A. A dedicated group allows for streamlined communication between NYPA and its customers, which will help reduce inquiry resolution time and provide NYPA customers with greater opportunities to adopt new rates and programs supporting clean energy initiatives, such as VDER.

Q. Would this proposal also produce value for customers other than NYPA customers?

A. Yes. While this customer relationship is unique to NYPA, this end-to-end inquiry resolution strategy will enable the Company to benchmark the effectiveness of focused upskilling and the development of subject matter expertise for other customer account groups. The additional dedicated FTEs on NYPA accounts will also reduce the number of non-NYPA accounts for the SCSRs in CCG, thereby making those representatives more responsive to non-NYPA inquiries and speeding up issue resolution.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on responding to inquiries from NYPA customers?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-06) New York Power Authority Account Management.

E. PSC Complaints and Rate Consultant Inquiry Handling

Q. What is the next category of work the Panel will be discussing?

A. We will be discussing the Company's efforts to respond to rate consultant inquiries and all PSC complaints submitted to the Office of Consumer Services ("OCS").

Q. How does the Company engage with customers when they submit questions and inquiries?

A. The Company makes every effort to resolve inquiries to its customers' satisfaction. This includes providing timely responses and conducting in-depth analysis to respond to all inquiries as quickly as possible.

If a customer is not satisfied with the Company's response to an inquiry, the customer can file a complaint with OCS online, in person, or by phone, fax, or mail. The Company then has an opportunity to address the customer's initial complaint to OCS Staff, known as a Quick Resolution System ("QRS") case, with the goal being to resolve such complaints quickly and fairly. Most complaints are resolved at the QRS level. A customer or rate consultant dissatisfied with the handling or resolution of a QRS case may contact DPS to escalate the case to a Standard Resolution System ("SRS") complaint.

Q. Please describe the process by which utility rate consultants submit complaints to the Company.

A. Utility rate consultants advise customers on their rights under utility tariffs and represent customers in billing disputes with the Company. In the Con Edison service territory, there are about 50 active rate consultants who make initial inquiries to the Company on behalf of customers before involving OCS. These inquiries are typically more complex than conventional customer complaints and take more time to resolve due to the detailed analysis involved. Inquiries can range from requests for copies of bills to questions about rates and tariffs to complaints over specific Company invoices issued over the preceding six years.

Q. Please describe the Company's current processes and procedures to respond to rate consultant inquiries and customer complaints.

A. The Company follows a similar process for responding to all complaints, with specialized teams dedicated to handling initial QRS complaints and to handling rate consultant inquiries.

In response to a complaint or inquiry, a CSR may undertake in-depth account analysis, seek assistance from other areas within the Company, calculate and perform bill adjustments, and draft letters with supporting material outlining their findings. If complaints go to the QRS or SRS levels, then the Company must undertake additional research and analysis for every formal response, rebuttal, hearing, and appeal, as needed. Each stage in the complaint response process is time intensive and manual.

Q. Has the number of customer complaints increased over time?

A. Yes. The Company received 4,604 QRS cases in 2023 and 5,717 QRS cases in 2024. Of those, the Company had 686 complaints escalated to SRS cases in 2023 and 876 complaints escalated to SRS cases in 2024.

Q. What has caused the number of customer complaints to increase?

A. A number of factors are driving an increase in complaints and the complex nature of resolving them, including higher bills, arrears growth, and increased rate consultant inquiries.

Rising supply costs have driven bills higher, as has an increase in summer electricity use for cooling. This leads to more inquiries and complaints about rates, as customers are more likely to scrutinize their invoices and question charges when supply costs are elevated.

The growth in arrears, largely influenced by the broader economic climate and moratoria on credit and collections activity, as discussed earlier, has also led to complaints. Credit and collections activities can lead to disputes, misunderstandings, and customer dissatisfaction. When faced with possible termination of service, customers are more likely to contest charges, request detailed analysis of their accounts, and seek clarifications of their billing statements. This escalation requires a robust and responsive customer service framework to manage and resolve issues efficiently and expeditiously.

Additionally, rate consultants are more frequently submitting detailed and extensive inquiries, often covering multiple issues and years of service. As the complexity of these inquiries grows, so does the time and effort required to resolve them. This extended resolution time can contribute to customer dissatisfaction and further escalation of complaints.

Q. Does the Company face any challenges in addressing rate consultant inquiries and PSC complaints that set it apart from other electric and gas utilities in New York State?

A. Yes. Unlike any other utility in New York State, the Company faces unique challenges due to the high number of rate consultants who initiate complaints. In fact, per benchmarking conversations, other utilities such as Orange and Rockland Utilities, Inc., New York State Electric & Gas Corp., and Rochester Gas & Electric Corp. each receive fewer than 10 total rate consultant cases a year, compared with Con Edison's more than 6,000 requests and initial inquiries from rate consultants in 2024 alone. These consultants generate numerous inquiries, QRS cases, SRS cases, hearings, and appeals. Each of these cases demands a detailed response, which necessitates extensive research and billing analysis that can span several years of service. That the Company receives such a high volume of such complex inquiries sets it apart from New York State's other

utilities, as it significantly increases the complexity and workload involved in resolving customer complaints.

Q. What FTEs does the Company currently devote to responding to rate consultant inquiries and customer complaints?

A. There are four SCSRs who are fully dedicated to handling initial inquiries from rate consultants. In addition, there are eight SCSRs in the QRS group and four SCSRs in the SRS group. In total, 16 SCSRs and three supervisors are dedicated to these efforts across the three teams.

Q. Have the FTEs devoted to responding to rate consultant inquiries and customer complaints changed over time?

A. While the number of full-time FTEs working on complaints has remained flat over time, the Company has recently augmented the FTEs noted above temporarily due to the increased volume and complexity of complaints. This proposal intends to make this necessary additional support permanent.

Q. What additional staffing does the Company require?

A. We require 21 FTEs. This figure includes 15 SCSRs, two Senior Planning Analysts, two Senior Specialists, and two supervisors.

Q. Does this additional staffing require Company labor, contract labor, or both?

A. This request requires Company labor.

Q. How many FTEs is the Company planning to add during the prospective RY1-RY3 time frame?

A. The Company projects that it will have these 21 FTEs hired by the end of Q1 2026. This projection allows three months for hiring management FTEs and canvassing for weekly FTEs, which might include waiting for SCSR classes to be conducted.

Q. How did the Company arrive at these required staffing levels?

A. Proposed program staffing is based on the Company's experience addressing backlogs of customer and rate consultant inquiries through augmented staffing.

Q. Is the Company proposing any other changes to its program for responding to rate consultant inquiries and customer complaints?

A. Yes. In addition to increasing staffing, the Company is proposing strengthening its approach to complaint responses by implementing process efficiencies and expanding training to build SCSRs' knowledge of tariffs and rates, applicable laws and regulations, and complex billing. Process improvements will include documenting lessons learned, standardizing complaint responses in a more scalable manner, and improving intake processes.

Q. What are the key benefits of this proposal?

A. The proposal aims to produce a more efficient, knowledgeable, and responsive team, ultimately leading to better outcomes for the Company, customers, and OCS.

Through enhanced training and an expanded workforce, the Company will improve the skills of the specialized team that is tasked with addressing complex cases effectively and efficiently.

Enhanced training for SCSRs will provide them with an advanced understanding of rates, tariffs, laws, regulations, and complex billing, thereby equipping them to handle intricate inquiries and issues.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $2,415,000 is needed beginning in RY1, with an incremental increase of $489,000 in RY2 and no change in RY3.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on responding to customer complaints?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-07) PSC Complaints and Rate Consultant Inquiry Handling.

III. Customer Outreach

A. Customer Outreach and Education

Q. Please explain the role of Customer Outreach.

A. The Company's Customer Outreach program provides customer outreach, education activities, and materials for programs to educate the Company's customers regarding their rights, responsibilities, and options as utility customers. The Company

has expanded this program over time to help customers learn more about energy safety, scam awareness, new programs, energy management, energy efficiency and other clean energy topics, energy savings, and financial resources.

Most recently, the Customer Outreach program continued to broaden its engagement strategies to include more targeted approaches, such as community events and educational materials tailored to regional and specific needs, particularly for low-income and at-risk customers. The program's expansion focuses on outreach in DACs and expanding communications to languages besides English and Spanish. As a result of these efforts, the Company has translated communications into several additional languages, including Russian, Chinese, Korean, Bengali, Polish, Haitian-Creole, and Yiddish. For a comprehensive description of this program, please see the Company's annual Outreach and Education Plans filed in Cases 17-M-0475, 22-E-0064, and 22-G-0065.

Q. Does the Company plan to expand its Customer Outreach activities?

A. Yes. The Company intends to undertake the following activities: 1) deepening relationships and expanding outreach initiatives as part of the targeted Regional Outreach program to meet increasing demand in the communities we serve; 2) expanding the Company's Language Access initiative to provide more language translations and develop new tools for customers who speak languages other

than English; 3) adding the Opower Affordability Suite, a set of tools designed to identify, engage, and enroll customers in the Company's affordability programs; 4) incorporating a more robust automated work notification tool for customers affected by Company construction work; 5) developing personalized engagement campaigns to provide customer-specific information to targeted audiences in languages beyond English and Spanish; 6) expanding email campaigns, including those for clean energy, energy efficiency, digital literacy, payment agreements, and self-service tools; 7) administering smart meter-related communications that were previously funded through the AMI Awareness budget; and 8) other efforts to engage with the communities we serve through multichannel communications.

Q. Will this program require additional staffing?

A. Yes. The program will require one additional FTE to handle the increased demand for Outreach activities.

Q. Please explain why current staffing levels are insufficient.

A. The current staffing level of 10 FTEs is insufficient to meet the Company's goal of expanding customer outreach annually across the Company's service territory. The increased demand for more personalized customer interactions through in-person events and hybrid/online platforms requires this additional staffing. With current staffing levels, the program cannot effectively extend its reach, particularly to underserved and at-risk populations,

or engage customers at the level required to address their individualized needs. Consequently, without increased staffing, the program's ability to meet this growing demand is constrained.

Q. How does the Company propose to expand the Language Access Program?

A. The Company's goal is to increase the number of languages in which we communicate with customers to better meet the needs of a diverse population that speaks more than 200 languages. In addition to English and Spanish, the Company primarily provides translations in Russian, Chinese, and Korean, and it would like to expand its offerings in Bengali, Polish, Haitian-Creole, Urdu, and Yiddish. The Company's third-party email provider, Questline, is also developing a program to enable customers to translate all emails into multiple languages. The Company is exploring similar capabilities for other communications and plans to contract with a vendor for website translations when Google Translate is discontinued.

Q. How will the Opower Affordability Suite enroll customers in affordability programs?

A. This suite includes data analytics and machine-learning algorithms that identify customers most likely to need assistance on their energy bills by combining public demographic data with actual energy consumption and bill amounts. Customers may also enroll in a series of personalized, seasonal email alerts, which

direct customers to an affordability "one-stop shop" that shows each customer the programs for which they are eligible.

Q. Is the Company planning to increase the amount of O&M spent on Outreach and Education activities?

A. Yes. An O&M increase of $1,322,000 is needed beginning in RY1, with an incremental increase of $71,000 each in RY2 and RY3.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed increase in the Outreach and Education program's O&M expenses?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-08) Customer Outreach and Education.

B. Postage Cost Increases

Q. Please explain the Company's use of the United States Postal Service ("USPS") to communicate with its customers.

A. The Company uses USPS to send customer bills and letters and postcards to convey critical notifications to customers, such as correspondence related to the collection process, suspension of service, and verification of life-support equipment ("LSE"). In 2024, the Company sent 38.9 million pieces of direct mail to customers via USPS.

Q. Have the Company's postage needs changed over time?

A. Yes. The Company's postage needs have evolved due to regular increases in postage rates, the adoption of electronic communication, and changes in the Company's operational needs. The increase in postal rates, which has been occurring twice a year, has made it more expensive for the Company to maintain regular communication with customers via first-class mail. For example, in 2019 the Company's average cost per document mailed was $0.3405. But by 2023, the average cost per document increased by 39% to $0.4732. And while some customers have opted into electronic communications, many still prefer physical mail or find digital communications impractical. The Company must continue to deliver bills and correspondence through physical mail for these customers, which necessitates an ongoing expenditure for postage.

Additionally, the Company's focus on arrears will require an increase in postage to send out communications regarding outstanding balances, payment agreements, and collection activities.

While the Company's postage needs can vary depending on specific circumstances – such as the volume of notices or collection efforts – they are always necessary. The Company must continue fulfilling its responsibility to send bills and critical notifications to customers while adapting to changes in postage

rates to maintain reliable and effective communications that align with regulatory requirements and customer needs.

Q. Has the Company's adoption of electronic billing, digital self-service tools, and other online resources reduced its need to communicate with customers by mail?

A. Yes, within limits. The adoption of digital resources and electronic billing has reduced the need to deliver bills by mail, as evidenced by the annual decline in physical bills sent between 2022 and 2024. However, the pauses in credit and collections activity discussed earlier temporarily reduced the need for collections-related mailings. The Company expects the resumption of collections activity to offset any further decline in physical bills.

Additionally, even for customers receiving electronic bills, the Company still must provide physical copies of certain communications. For example, under PSC regulations, disconnection notices for accounts in arrears must be mailed to the customer's service address. Therefore, while digital tools have reduced some mail communications, regulatory requirements still require physical mail for specific notices.

Q. Is the Company planning to increase the amount of O&M spent on postage?

A. Yes. An O&M increase of $3,424,000 is needed beginning in RY1, an incremental increase of $1,624,000 in RY2, and an incremental increase of $1,738,000 in RY3.

Q. How did the Company estimate the increase in O&M spent on postage?

A. The Company developed the postage forecast based on projected bi-annual, and annual postage USPS cost increases ranging from 3-3.5% bi-annually and approximately 7% annually.

Q. How will this funding benefit customers?

A. This funding will enable the Company to continue delivering monthly bills and key information to customers, effectively accommodating all customer-chosen communication channels. It will also support the Company’s regulatory responsibility to deliver pertinent communications physically.

Q. Can the Company reduce its spending on postage or avoid increased postage costs by requiring customers to receive materials electronically?

A. No. The Company cannot require customers to receive materials electronically. A portion of customers still prefers or requires physical mail due to personal preferences, lack of access to digital devices, or limited internet connectivity. As previously mentioned, in accordance with PSC regulations, the Company must mail certain communications to customers, in addition to delivering them digitally.

Q. Will this program require additional staffing?

A. No.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed increase in O&M expenses for postage?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-09) Postage Cost Increases.

IV. Supporting Vulnerable Customers

Q. You noted earlier in this testimony that the Company's customers are experiencing historically high levels of arrears. How much of that is attributable to economic hardship experienced by customers?

A. While the high level of arrears is attributable, in part, to the extended periods of time in which the Company suspended credit and collections activity, a confluence of economic factors has also had an outsized impact on the Company's most vulnerable customers. Lingering efforts of the Covid-19 pandemic, inflation on essential goods like housing and groceries, and high interest rates can make it harder for customers to afford basic expenses.

Q. What is the Company doing to support vulnerable customers during this difficult time?

A. The Company provides direct bill assistance to customers including through the EAP, educates customers about payment and assistance options available to them, and engages with the EAP

Working Group to address issues of concern to low-income customers.

Q. Please describe the Company's efforts to provide customers with bill assistance.

A. The Company provides or plans to provide bill assistance through the following offerings:

- EAP: The EAP provides bill discounts to low-income customers. Through this program, the Company provided $311 million in discounts in the 2024 program year.
- EnergyShare: Through its EnergyShare program, the Company provides up to an additional $200 benefit to low-income customers who have made at least one payment in the previous 12 months and are income qualified. EnergyShare bill credits are made possible by voluntary monetary contributions from Con Edison employees and customers. In 2024, customers received more than $500,000 in bill credits through this program.
- Coordinating with Social Service Agencies: The Company maintains robust processes to automatically enroll customers receiving public assistance into the Company's EAP. In addition, the Company coordinates with public assistance agencies so that the Home Energy Assistance Program ("HEAP") payments and other assistance, such as Utility Guarantee and Direct Voucher payments, are applied to eligible accounts. The Company established processes to validate customer eligibility

and apply public assistance relief funds and arrears waivers to accounts and is currently collaborating with New York City's Human Resources Administration ("HRA") to automate data sharing to streamline this process.

- SSFA: Once this program is fully operational, solar and storage projects will be compensated via the utility's VDER program and a portion of that compensation will be distributed as bill credits to low-income customers participating in the Company's EAP and residing in DACs.
- REACH: Similar to Statewide Solar for All, REACH will also compensate developers and provide bill credits in coordination with NYPA for small- and large-scale renewable energy projects.

Q. Does the Company provide any other resources to customers struggling to pay their bills?

A. Yes. In addition to the bill assistance programs described above, the Company offers Budget Billing to all customers. This option provides customers with a predictable, consistent monthly payment by averaging a customer's estimated energy bills across an entire year. While this is not a bill discount program, enrolling in Budget Billing can help customers plan for and budget their energy bill payments. The Company also works with customers who have difficulty paying bills to set up payment agreements.

Q. Please describe the Company's efforts to support vulnerable customers through Outreach and Education.

A. Through its Outreach and Education program, the Company makes customers aware of bill assistance and payment agreement options. The Company also educates customers on topics including energy safety, scam awareness, and clean energy programs. Since its last rate cases, the Company has increased focus on outreach in languages other than English and Spanish and in DACs. For more information, see the Outreach and Education section above in this Panel's testimony. For further discussion of the Company's work in DACs, please see the Clean Energy Transition Panel testimony.

Q. Please describe the Company's work with the EAP Working Group.

A. The Company engages with the statewide EAP Working Group established in the 2021 EAP Order to improve access to bill assistance for vulnerable customers. The EAP Working Group's goals include reviewing and improving the EAP discounts, implementation, and outreach and education. The Company supports these efforts and is working with stakeholders and DPS Staff on a number of these proposals.

Q. Please describe any proposed programs or ongoing actions that will support vulnerable customers during 2026-2028.

A. The Company is proposing the following to support vulnerable customers:

- EAP: The Company is proposing to improve the EAP to remove barriers to enrollment through both the auto-matching and self-certification processes, as described below in this Panel's testimony.
- Outreach and Education: The Company is proposing to expand email campaigns for payment agreements, expanding language access programs, investing in tools to market and enroll customers in the EAP, and deepen relationships through its regional outreach program, as described earlier in this Panel's testimony.
- Affordable Multifamily Electrification Pilot: The Company is proposing to launch this pilot to offset bill impacts of electrification in affordable multifamily housing; for details, see the Customer Energy Solutions Panel testimony.

Q. Are there any measures that may help the Company's vulnerable customers that are being considered outside of this proceeding?

A. Yes. The Company is preparing to apply credits to customer bills from the forthcoming EAG Pilot, designed to mitigate operating cost increases for low-income customers who electrify space and water heating through the New York State Energy Research and Development Authority's ("NYSERDA") EmPower+ program. This statewide program will be administered by DPS Staff in collaboration with New York State utilities and NYSERDA. The Company is also collaborating with DPS Staff and other

stakeholders through the Statewide EAP Working Group to expand EAP eligibility to include moderate-income customers and through the New Efficiency: New York proceeding to review and update the framework for the Energy Efficiency and Building Electrification portfolio, including for programs serving low- and moderate-income customers.

A. Energy Affordability Program Rules and Funding

Q. Please describe the EAP.

A. Through the EAP, Con Edison offers discounts on electric and gas bills to low-income customers who are beneficiaries of certain qualifying public assistance programs.

Q. Does the Company propose any changes to its EAP in this filing?

A. Yes. In compliance with the Commission's Rate Order issued in the Company's previous rate cases (the "2023 Rate Order"), the Company is proposing in the testimony of the Gas Rates Panel to establish separate rates in SC3 for gas heating customers with 1-4 dwelling units and customers with more than four dwelling units. Further, the Company proposes to limit participation in the EAP for SC3 gas heating customers to residential customers with 1-4 dwelling units.

Q. Why is the Company proposing to exclude SC3 gas customers with more than four dwelling units from participation in the EAP?

A. The Company understands that EAP discounts should directly benefit residential customers, but the bill discounts for SC3 gas

customers with more than four dwelling units apply to central gas accounts at multifamily buildings, not to individual tenants. The Company does not have a mechanism to verify that discounts will be passed on to tenants through measures like rent discounts.

Q. How many customers could be removed from the program as a result of this proposed change?

A. The Company currently estimates 84 SC3 gas customers with four or more dwelling units would be removed from the EAP. Because customers enroll and exit the EAP monthly, however, this number could change before the proposed implementation.

Q. To what extent would removing these customers impact the discounts for other gas heating customers?

A. The Company determines monthly EAP discounts by estimating a typical residential customer use profile and corresponding bill charges in accordance with the Commission's 2021 Order Adopting Energy Affordability Policy Modifications and Directing Utility Filings. The use profile is based on EAP participants' use over a three-year period. The Company estimates that removing large multifamily buildings from the EAP population would reduce the estimated use projection for gas heating customers, resulting in a more accurate use profile for those customers. Because the number of participating gas accounts with more than than four dwelling units is less than 0.4 percent of the total population of EAP gas heating customers, the resulting impact to discounts

should be modest, with the estimated use profile falling by approximately 4 percent.

Q. Does the Company propose any additional changes to the EAP?

A. No.

Q. How does the Company enroll customers in the EAP?

A. The Company aims to enroll as many eligible customers as possible in the EAP. The Company enrolls customers automatically if HRA or the Westchester Department of Social Services ("DSS") (each an "Agency" and together the "Agencies") notifies the Company through a quarterly file match process that a customer is receiving a qualifying benefit, such as Supplemental Nutrition Assistance Program, Medicaid, Temporary Aid to Needy Families, or Supplemental Security Income, or upon the Company's receipt of a HEAP payment on a customer's account. The Company will also enroll these customers following the receipt of a paper or electronic application for Utility Guarantee or Direct Vendor benefits or a payment associated with a HEAP grant. Qualifying customers who are not otherwise enrolled may also enroll by self-certifying, which requires submitting proof of participation in any of 14 eligible qualifying public assistance programs.

Q. In its current rate plan, did the Company commit to developing internal controls around the EAP quarterly file match process?

A. Yes.

Q. Did the Company implement those controls?

A. Yes.

Q. What controls did the Company implement?

A. The Company implemented processes to validate that the stages of the quarterly match process with HRA and DSS are completed successfully and in a timely manner. These include email confirmations that the Company has successfully transferred customer information to the Agencies and that the Agencies have completed the quarterly reconciliation process and returned the results to the Company. The Company also validates the number of customers enrolled or unenrolled if that number deviates by more than 25 percent compared to the previous quarter.

Q. Have those controls proven effective?

A. Yes. The Company has successfully completed the quarterly EAP match with HRA and DSS in each quarter of the current rate plan.

Q. Has the Company taken action to promote enrollment in the EAP by customers who are eligible for the EAP but not automatically enrolled through the file match?

A. Yes. The Company promotes participation in the EAP by educating customers about EAP eligibility requirements and encouraging customers who qualify for eligible public assistance benefits to apply for them so that they then qualify for the EAP. For customers enrolled in public assistance benefits that do not result in automatic enrollment into the EAP, the Company educates them about how to enroll in the EAP by certifying that they

participate in a qualifying program. The Company conducts a multi-channel campaign to encourage eligible customers to apply. This includes email notifications, letters, newsletters, web content, advertising campaigns, social media, government and community outreach, and flyers in multiple languages featuring benefits information and an enrollment form. In 2024, more than 29,000 customers enrolled in the EAP by self-certifying.

Q. What are the assumed discount costs for Rate Year 1, and how does this compare to the amounts set aside in the 2023-2025 rate plan?

A. The assumed electric discount cost in Rate Year 1 is $213.7 million, which represents an incremental $47.4 million above the $166.3 million in costs currently in rates.

The assumed gas discount cost in Rate Year 1 is $43.6 million: $38.9 million for gas heating customers (SC3) and $4.7 million for non-heating customers (SC1). This represents an incremental $7.8 million above the $35.8 million in costs currently in rates.

These assumed discounts reflect updates stemming from the 2021 EAP Order. The Company anticipates, however, that the discount amounts may change during this rate proceeding, as the New York State Office of Temporary and Disability Assistance ("OTDA") updates income and benefit level assumptions and as average bill amounts change, as well as to reflect any changes in

delivery rates in 2026. The Company will provide an update, if feasible, at the update stage.

Q. Does the Company propose to continue the reconnection fee waiver component of the EAP?

A. Yes. Service disconnections are a last resort for the Company but remain a reality amid the post-Covid resumption of collections activities. While the Company issued relatively few waivers in 2024, the need could rise alongside increased collections activities. The Company proposes maintaining reconnection fee waivers for customers enrolled in the EAP to avoid burdening low-income customers already struggling to pay their bills. The proposed fee waiver budget represents less than 1 percent of the program budget for RY1.

Q. What are the proposed annual target costs of these fee waivers?

A. The Company's rate filing assumes an annual target cost of $2.14 million for electric reconnection fee waivers and $75,000 for gas reconnection fee waivers. All eligible EAP participants will receive a waiver on a first-come, first-serve basis. The Company's proposed tariff states that each fee waiver program will end once the cost of these programs equals the target for the Rate Year. The Company will notify the parties to this rate case if it projects that the electric and/or gas reconnection fee waiver cost target will be reached during any Rate Year.

Q. Adding together the discount costs and the reconnection fee waiver costs, what is the Company's target budget amount for the Electric and Gas EAPs in Rate Year 1?

A. The target budget amount for the Electric EAP is $215.8 million. The target budget amount for the Gas EAP is $43.7 million.

Q. Does the Company propose any form of reconciliation if actual participation in the EAP is higher or lower than the Company's forecast, or if the annual updates to discount levels result in increased or decreased spending on bill discounts?

A. Yes. Consistent with the Company's 2023-2025 electric rate plan, all over- and under-recoveries associated with the electric discounts and the waiver of reconnection fees will be recovered through the Revenue Decoupling Mechanism ("RDM") from all customers subject to the RDM for the Electric EAP. The Company proposes to continue this reconciliation without modification.

Similarly, all over- and under-recoveries associated with the gas discounts and the waiver of reconnection fees will be recovered through the Monthly Rate Adjustment ("MRA") from all customers subject to the MRA for the Gas EAP. The Company proposes to continue this reconciliation without modification.

Q. Is it possible that the actual costs of the Electric and Gas EAPs may change in subsequent years if the Commission approves a multi-year rate plan in this proceeding?

A. Yes. The Company updates the discount calculation annually and expects participation in the Company's EAPs will vary over the course of a multi-year rate plan, as will other factors impacting the discount calculation (e.g., energy commodity costs and OTDA's HEAP program guidelines), all of which impact the cost of the Electric and Gas EAPs. The Company does not propose modifying target amounts for either bill discounts or reconnection fee waivers outlined above in RY2 or RY3 of a multi-year rate plan. This method of recovering program costs in RY2 and RY3 is consistent with how the Company's EAPs were funded during the 2023-2025 rate period.

Q. Does the Company propose to continue funding up to $150,000 in each Rate Year toward HRA's and DSS's administrative costs?

A. Yes.

B. Energy Affordability Program Resources

Q. Please describe the responsibilities of the FTEs that the Company currently uses to administer the EAP and related programs.

A. The Company currently employs one Supervisor, ten CSRs, one Senior Specialist, and one Manager on the Public Assistance Central ("PAC") team. The PAC team implements the EAP and coordinates with HRA and DSS to enroll customers in the EAP and provide these agencies with information needed to enroll customers in public assistance programs.

Q. What challenges does the Company face in administering the EAP?

A. By design, enrollment in the EAP depends on coordination with program administrators for qualifying public assistance programs. For Con Edison's program, these partners are HRA and DSS. An ongoing challenge with this process is successfully matching these Agencies' clients with Con Edison gas and electric customer profiles. The Company and the Agencies leverage a quarterly match process, but manual enrollment is still required for many customers who are eligible but not captured as part of the automatic matching processes.

Q. Is the Company proposing any changes to the FTEs it uses to administer the EAP and related programs?

A. Yes. The Company requests 7 additional FTEs to support the EAP, including:

- 3 CSRs and 1 Supervisor to review self-certification and recertification program applications and send recertification reminder notifications;
- 1 Specialist to streamline and improve the EAP enrollment process;
- 1 Specialist to coordinate with the Agencies and other customer programs, including clean energy programs, to improve the customer journey and education; and
- 1 Senior Planning Analyst to manage regulatory requirements and stakeholder engagement.

Q. Does this additional staffing require Company labor, contract labor, or both?

A. This staffing requires Company labor.

Q. Please explain why current staffing levels are insufficient.

A. The Company launched the self-certification process in 2022. The self-certification process requires CSRs to manually review applications and, where necessary, follow up with customers to seek clarification or request additional documents. The Company did not add CSRs to the PAC team when self-certification began. As a result, this responsibility fell to CSRs already tasked with other responsibilities and CSRs from outside of the PAC team. During the COVID-related pause in collections activities, CSRs typically tasked with collections-related activities supported PAC by processing applications. As the Company resumes collection activities, however, those CSRs are no longer available to assist.

The self-certification process has allowed a higher number of customers to enroll, with more than 29,000 customers enrolling through self-certification in 2024. Furthermore, customers who self-certify also need to re-certify annually by re-submitting applications that also require manual review. This means that the number of program applications should continue to grow in the future as new customers are added to the population and existing self-certifiers apply to maintain their EAP benefits.

Q. How did the Company arrive at these required staffing levels?

A. The three CSRs are required to process self-certification and recertification applications. These incremental SCSRs will bring the total number of CSRs in the group to 13. To maintain a reasonable supervisor-to-representative ratio, the Company is proposing to hire one additional Supervisor.

Q. How many of these incremental FTEs does the Company intend to hire during RY1?

A. The Company projects that it will hire all seven FTEs by April 2026. The Company has prorated the O&M portion of these FTEs' salaries accordingly in our program changes.

Q. How have you determined the approximate hire dates of these FTEs in RY1?

A. This was based on the Company's assessment of factors such as the company's ability to work through the hiring process for batches of FTEs, testing and training processes, and workload requirements.

Q. What other activities will the Company undertake in connection with this proposed project?

A. In addition to the program enhancements supported by the additional FTEs outlined above, the Company is seeking funding to send reminder text messages to customers who are enrolled in the EAP but need to submit an application to recertify to help prevent those customers from experiencing a lapse in benefits.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $722,000 is needed beginning in RY1, with an incremental increase of $217,000 in RY2 and no change in RY3.

Q. Why is the Company proposing to increase spending on the EAP?

A. The increase in spending will allow the Company to continue delivering a quality customer experience through the self-certification process. The increase in spending will also allow the Company to streamline processes and build capacity to expand enrollment and coordinate the EAP more closely with other customer programs, including clean energy programs.

Q. What capital funding is required for this project during 2026-2028?

A. None.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on administering the EAP?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-10) Energy Affordability Program.

C. Statewide Solar for All

Q. What is the next category of work the Panel will be discussing?

A. We will be discussing the Company's plans to provide staffing to administer the new SSFA program.

Q. What is the SSFA program?

A. SSFA is a program established by the Commission in its May 16, 2024 Order Approving Statewide Solar for All Program with Modifications in Cases 21-E-0629, 19-E-0735, and 14-M-0224 (the "SSFA Order"). The SSFA Order directed each investor-owned utility to implement a SSFA program, under which solar and storage projects are compensated via the utility's VDER program and a portion of that compensation is distributed as bill credits to low-income customers participating in the Company's EAP and residing in DACs.

Q. What are the key activities that the Company will undertake to administer the SSFA Program?

A. Key activities related to administration of this program include:

- Calculation of new SSFA credit amounts each year based on the customer share of Value Stack credits from the previous program year;
- Distribution of SSFA credits to SSFA program beneficiaries as a monthly credit on electric bills;
- Enrollment of eligible EAP customers with the option to opt out of SSFA at any time;
- Enrollment and onboarding of eligible SSFA projects, including standalone storage, storage paired with solar, and solar; and
- Monthly payments to SSFA Value Stack projects based on each participating project's generation.

Q. What are the key benefits of this proposal?

A. Key benefits of this proposal include improved workflows and communication among departments involved in VDER onboarding, leading to improved customer experience for Value Stack projects. Additionally, this program will improve affordability for all customers residing in DACs who are enrolled in the Company's EAP.

Q. Does the Company require additional staffing to administer this program?

A. Yes. Additional staffing is necessary to successfully administer the SSFA program with an efficient and timely onboarding experience for generators and a positive experience for the customers who will benefit from automatic enrollment in the program.

Q. How many FTEs is the Company planning to add before and during the RY1-RY3 time frame?

A. The Company plans to hire six FTEs, including:

- One Senior Specialist in the Clean Energy Billing and Crediting ("CEBC") Group to oversee SSFA Value Stack project onboarding and billing-related program components;
- One Senior Specialist in the Public Assistance Central ("PAC") Group to manage issues related to annual SSFA credit pool reconciliation, calculation of new credit

amounts each year, credit distribution, customer enrollment and opt-outs, and related activities; and

- One Supervisor and three SCSRs in the CEBC Group to onboard and manage interested Value Stack projects.

All six FTEs will be in place by the end of the first quarter of RY1. The Company hired one FTE in 2024 and intends to hire the remaining five FTEs in 2026.

Q. Does this additional staffing require Company labor, contract labor, or both?

A. The FTEs requested are all Company labor, with all Senior CSR roles as union positions.

Q. How did the Company arrive at these required staffing levels?

A. The Company based the proposed staffing levels on the Company's experience administering the CDG program and the EAP. Additionally, staffing levels for the CEBC Group reflect the projected increase in Value Stack projects applying to interconnect to the Company's distribution system as a result of the SSFA program. These staffing levels are not included within the Community Distributed Generation Platform labor request included in the Information Technology Panel's testimony.

Q. What are the Company's total projected O&M program changes in this area for the three rate years?

A. An O&M increase of $802,000 is needed beginning in RY1, to remain flat in RY2 and RY3.

Q. Is there an existing cost recovery mechanism for O&M expenses for the SSFA program?

A. Yes. In the SSFA Order, the Commission established a Utility Administrative Fee capped at 1 percent of the monthly value of Value Stack compensation from participating SSFA projects to cover the costs to administer the SSFA program.

Q. Why is the Company requesting funding for staffing when there is an existing cost recovery mechanism separate from the rate proceeding for the SSFA program?

A. The Company expects to incur substantial O&M costs to implement the SSFA program before any enrolled generators produce electricity and generate Value Stack credits subject to the 1 percent Utility Administrative Fee. Accordingly, without the funding requested here, the Company does not anticipate that it will be able to recover those costs in an adequate and timely manner.

Q. Does the Company also require capital funding for this project during 2026-2028?

A. The Company requires capital funding for enhancements to CC&B and its Value Stack Customer Platform to implement SSFA. In its Order Providing Clarification, issued September 24, 2024 in Cases 21-E-0629, 19-E-0735, and 14-M-0224, the Commission has clarified that utilities "may defer the revenue requirement impacts of prudent, necessary, and incremental S-SFA costs incurred during the

initial project enrollment period for customer information system and billing system upgrades/modifications needed to be able to execute the program, and the ongoing incremental costs to track various elements of the utility's billing system, as required by the S-SFA program." Because the Commission has permitted Con Edison to defer the costs of upgrading CC&B to implement SSFA, the Company is not seeking capital funding for those costs in this proceeding.

The Commission's order, however, granted deferral only for the costs of upgrades and modifications to "customer information systems" and "billing systems." Accordingly, in the Information Technology Panel, the Company is requesting $750,000 on an annual basis for enhancements to its Value Stack Customer Platform to enable the SSFA as part of the Community Distributed Generation Platform Solution request. These enhancements will update the Value Stack Customer Portal to enable self-service of common data updates and requests for CDG asset owners, operators, and authorized third parties and enable integrations with enterprise billing, DER onboarding, and meter order systems to reduce crediting cycle times and provide greater visibility into the project pipeline and monitoring of internal progress through permission to operate ("PTO"), the formal approval of the Company for new solar panel systems to connect to the electric grid.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed expenditures on SSFA?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-11) Statewide Solar for All.

V. Metrics

A. Customer Service Performance Mechanism

Q Does the Company have a proposal for Customer Service Performance Mechanism ("CSPM") metrics and targets?

A. Yes. The Company proposes to continue its CSPM metrics with the modifications and targets described below.

Q. Please describe the Company's current CSPM.

A. The Company's current CSPM adopted in Cases 22-E-0064 and 22-G-0065 consists of the following five metrics: Commission Complaints; Call Answer Rate; two Customer Satisfaction Surveys, one for emergency interactions and one for non-emergency interactions; and the Outage Notification Incentive Mechanism ("ONIM"). See Exhibit__(CO-12) Current Customer Service Performance Mechanism Incentive Targets for a matrix of the current CSPM and the associated targets.

Q. Has the Company met the CSPM targets in the current rate plan?

A. The Company met all of its performance targets in RY1 and RY2 of its current rate plan.

Q. Does the Company propose any changes to the individual metrics?

A. The Company proposes not to renew the ONIM as a CSPM metric.

Q. Why does the Company propose this change?

A. The Company has collaborated with the Staff's Office of Resilience, Utility Security, Emergency Preparedness, and Nuclear Affairs to fully incorporate the ONIM's requirements into the Company's annually filed Emergency Response Plan.

Q. Does the Company propose changes to the performance targets for the remaining CSPM metrics?

A. No. Apart from the ONIM, as discussed above, the Company proposes to maintain current performance targets for each of the other CSPM metrics.

Q. Does the Company propose changes to the revenue adjustments associated with the CSPM metrics?

A. No. Apart from the ONIM, as discussed above, the Company proposes to maintain the current revenue adjustments levels in its current CSPM.

Q. Why does the Company propose to maintain the current levels of revenue adjustments associated with the CSPM metrics?

A. The 2023 Rate Order substantially increased the potential negative revenue adjustments associated with the CSPM metrics, and those potential adjustments, now expressed in basis points rather than as fixed dollar amounts, will continue to grow with changes in the Company's electric and gas rate bases. As such, the current potential revenue adjustments are sufficient to

incentivize the Company to maintain adequate levels of customer service performance.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed CSPM?

A. Yes. We have prepared and sponsor an exhibit entitled Exhibit__(CO-12) Current Customer Service Performance Mechanism Incentive Targets and Exhibit__(CO-13) CSPM Target Historical Data.

B. Residential Termination, Uncollectibles and Arrears Incentive Mechanism

Q. Does the Company propose to resume the Residential Terminations, Uncollectible Bills and Arrears incentive mechanism during the 2026-2028 period?

A. No. The Company proposes to continue suspending this incentive mechanism. As discussed earlier, the Covid-19 pandemic moratoria on collections and termination activity for residential customers continue to have a significant impact on the Company's current arrears and terminations efforts. Therefore, the Company does not recommend resuming the mechanism at this time.

Q. Is this proposal consistent with recent Commission orders in other utilities' rate cases?

A. Yes. In October 2023, the Commission issued an order adopting a joint proposal in NYSEG's and RG&E's electric and gas rate cases (Cases 22-E-0317, 22-G-0318, 22-E-0319, 22-G-0320) providing for suspension of those utilities' uncollectibles/terminations/

arrears incentive mechanism for the three years of the rate plans. Similarly, in August 2024, the Commission issued an order adopting a joint proposal, with minor modifications and corrections, in the Brooklyn Union Gas Company's and KeySpan Gas East Corporation's gas rate cases (Cases 23-G-0225, 23-G-0226) that suspended those utilities' uncollectibles incentive mechanism through the term of the rate plans.

C. Long-Term Estimated and Delayed Billing Metric

Q Does the Company have a proposal for the metrics and targets in the Estimated and Delayed Billing Metric established in Cases 22-E-0064 and 22-G-0065?

A. Yes. The Company is proposing two changes to the exclusions for this metric.

First, the metric currently excludes bills for non-residential customers for whom the Company's Return to Utility ("RTU") vendor has made five unsuccessful attempts to install an AMI meter. The Company proposes that this exclusion apply if the Company's RTU vendor or Company employees, taken together, have made five such unsuccessful attempts to install an AMI meter. (For purposes of clarity, the exclusion would apply if, for example, the Company's RTU vendor made three such attempts and Company employees made two such attempts to the same customer.)

Second, the Company proposes to exclude from the metric accounts with defective or non-communicating meters for which the Company has engaged in the replevin process, as described above.

Q. Why is the Company proposing these changes?

A. The current exclusion for non-residential customers for whom the Company's RTU vendor has been unable to install an AMI meter acknowledges that the Company's performance can be affected by customers who, in violation of the Company's tariffs, do not provide access for metering equipment that would enable the Company to issue more timely and accurate bills. The Company proposes these two changes to address the same underlying issue of access to customer premises.

With respect to the first proposed change, the Company has used both vendor and employee resources to install AMI meters. For the purposes of this metric, there is no meaningful distinction between customers who have prevented vendors from installing meters and customers who have prevented Company employees from installing meters.

With respect to the second proposed change, as discussed earlier, the Company has encountered difficulties accessing customer premises to address issues with metering equipment that prevent the Company from issuing timely bills based on actual meter readings. This exclusion would apply only to those cases where the no-access conditions have been so persistent as to

require the Company to take legal action to remove the defective or non-communicating metering equipment.

Q. Does the Company propose any other changes to the current metrics and targets?

A. The Company proposes that targets remain at current levels for all three rate years. See Exhibit__(CO-14) Estimated and Delayed Billing Metrics for the Company's current performance targets and metrics.

Q. Why is the Company proposing to maintain the current metric and target levels?

A. While the Company has shown success in meeting unprecedented performance targets, there will always be some level of billing anomalies in a service territory as large and complex as Con Edison's. The Company therefore expects its performance will necessarily level off at some point, and it does not make sense to ratchet the performance targets further downward without further data to set a reasonable baseline performance level.

Q. Has the Company met the targets for the Estimated and Delayed Billing Metric in the current rate plan?

A. The Company met its performance targets for this metric in 2023 and 2024 but will be challenged to meet the target for Metric 2 in 2025.

Q. What challenges does the Company currently face in further reducing the incidence of estimated and delayed billing?

A. As described in Meter and Billing Resources section above, the Company faces operating challenges in remediating the more difficult billing issues that remain unresolved. In particular, the Company often cannot gain access to customer premises to replace malfunctioning or non-communicating meters; and while the Company's metrics exclude certain instances in which the Company has not been able to replace a legacy meter with an AMI meter, it does not yet exclude instances in which AMI meters are not communicating or communicating only intermittently but the Company has not been able to obtain access to repair or replace the AMI meter.

Q. What steps is the Company currently taking to reduce the incidence of estimated and delayed billing?

A. The Company has targeted efforts based on the workstreams identified in the quarterly AMI optimization and stabilization reports. In addition, the Company's Meter Management QA Team has identified pain points that prevent accounts from billing automatically to reduce the number of estimated and delayed billing. Accounting and back-office CSRs are responsible for individually investigating customer account inquiries and remediating any billing errors.

Q. What proposals is the Company making in this filing to further reduce the incidence of estimated and delayed billing?

A. As also detailed in Meter and Billing Resources section, the Company is requesting additional FTEs for both back-office personal to address increasingly complex customer account issues and a separate group dedicated to resolving inquiries from NYPA customers. The Company is also requesting FTEs to establish a permanent Meter Management QA team and establish a Meter No Access and Replevin Program to gain access to meters needing replacement.

VI. Tariff Changes

Q. Are you proposing any tariff changes as part of your testimony?

A. Yes. The Company proposes extending the coincident demand billing structure to all customers with multiple AMI meters, eliminating its current restriction to customers on the Reactive Power Program at or above 500 kW of demand.

Q. Why are you proposing these changes?

A. Currently, non-residential customers with multiple meters and less than 500 kW of total demand are billed based on the additive demand. Customers in the Reactive Power Program are billed on coincident demand but the transition to AMI has replaced the installation and maintenance of impulse wiring originally required to support coincident demand billing. As such, the Company now has information from AMI meters to bill multi-metered accounts on the basis of coincident, rather than additive, demand. Coincident demand billing is typically more cost-

effective for customers and provides a more accurate measure of their system demand. This proposal would extend the benefit of coincident demand billing to all customers with multi-metered accounts.

Q. What is the difference between coincident and additive demand?

A. Coincident demand is the highest integrated demand registered on all the meters on the customer's account during the same 30-minute period. Additive demand is the sum of the peak demand on each meter on a customer's account, even if those peaks were recorded during different time periods. Customers who are not eligible for coincident demand billing according to the tariff or who do not install and maintain the required impulse wiring are billed on an additive demand basis.

Q. Why is coincident demand beneficial to a customer?

A. Coincident demand is always equal to or less than additive demand. If each meter point peaks at the same time, then additive and coincident demand can be the same. But if the meter points have staggered peaks, then additive demand can be significantly higher than coincident demand.

Q. How many customers will this affect?

A. As of December 2024, approximately 800 customers were included in the population that would transition from additive demand billing to coincident demand billing. This number may change prior to the beginning of the rate plan.

Q. How will this change be communicated?

A. The Company will send communications to notify the affected customers of the change in demand billing structure.

Q. Are you proposing any other tariff changes as part of your testimony?

A. Yes. As described above, the Company proposes to limit participation in the EAP for SC3 gas heating customers to residential customers with 1-4 dwelling units. Please see the Energy Affordability Program Rules and Funding section for details on this proposed change.

Q. Does that conclude your direct testimony?

A. Yes, it does.